UEH UNIVERSITY OF ECONOMICS HO CHI MINH CITY

IAS 8 – Accounting Policies, Changes in Accounting Estimates and Errors





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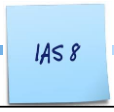
OBJECTIVE & DEFINITIONS





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The goad of IAS 8:



- The goal of this standard is to prescribe the criteria for **selecting** and **changing accounting policies**, as well as the accounting treatment and to disclose information about changes in accounting policies, **changes in accounting estimates** and **correction of errors.**

→The Standard seeks to enhance

the ***relevance*** and ***reliability***

of financial statements of an entity,

as well as comparability with the financial statements issued by it in previous years, and with those developed by others.

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What is the event in IAS 8?



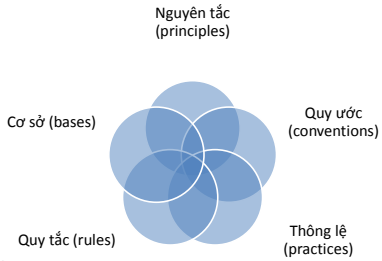
- Change in **accounting policy**
- Change in **accounting estimate**
- **Prior period error**

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The specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements.



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Hàng tồn kho: lựa chọn pp BQGQ

PPEs: Ghi nhận ban đầu theo Nguyên giá
Nguyên giá gồm
Giá mua + CP liên quan trực tiếp + CP tháo dỡ khôi phục mặt bằng (nếu có)

DN đang xây dựng căn nhà làm văn phòng. DN đi vay và vốn hóa lãi vay vào giá trị căn nhà xây dựng.

Accounting estimates

An **adjustment** of **carrying amount** of an asset or liability, or related expense, resulting from reassessing the expected future benefits and obligations associated with the asset or liability



Accounting Estimate	Affect?	
	Recognition	
	Measurement	x
	Presentation	
	Disclosure	

PPEs: Ghi nhận ban đầu theo Nguyên giá
Nguyên giá gồm
Giá mua + CP liên quan trực tiếp + CP tháo dỡ khôi phục mặt bằng ước tính (nếu có)

HTK: Lập dự phòng giảm giá HTK khi
Giá trị thuần có thể thực hiện được < Giá gốc

TSCĐ: ước tính sử dụng 5 năm
+ Sau 3 năm sử dụng, DN xác định TS ước tính còn sử dụng được 1 năm

PPEs: Giá trị khấu hao = Nguyên giá – Giá trị thanh lý **ước tính**

Ước tính: dự phòng bảo hành sản phẩm

Ex1:

Accounting Policy or Accounting Estimates?



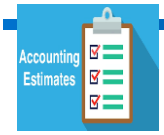
Q. Account Ltd charged **interest expenses** incurred from the construction of tangible non-current asset to **the income statement** before but now it capitalizes the interest as an addition to the cost of tangible non-current asset as IAS 23 – *Borrowing costs*

Q. Account Ltd depreciates the machine using:
the reducing balance basis method at 30%
but now it uses the new depreciation method over 10 years

Q. Account Ltd shows **overhead expenses** within cost of sale before
but now it shows under administrative expenses

Q. Account Ltd has previously measured inventory at weighted average cost
but now it uses FIFO method

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An **adjustment** of **carrying amount** of an asset or liability, or related expense, resulting from reassessing the expected future benefits and obligations associated with the asset or liability



- Useful life
- Receivable
- Warranty provision…

That results from the from new information or new developments and, accordingly, are not corrections of errors

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Error

Omissions and **misstatements** for one or more prior periods arising from failure to use or misure of reliable information



- Fraud
- Omission
- Misstatement



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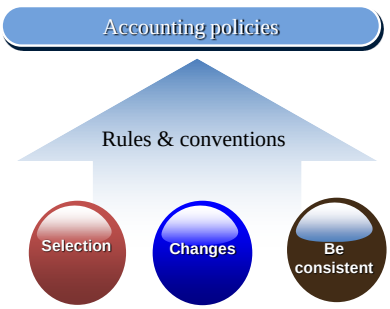
CHANGE IN ACCOUNTING POLICIES





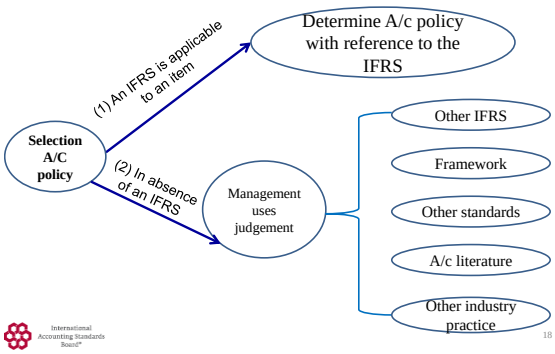
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Change in accounting Policies



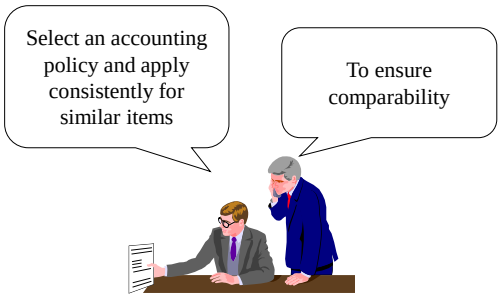
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Change in accounting Policies



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Consistent



Change in accounting policy



Standard/ interpretation requires it

Change will provide more relevant and reliable information

Why?

Change in accounting policy



These items are **not considered changes in accounting policies:**

- The application of an accounting policy for transactions, other events, or conditions that differs in substance from those previously occurring
- The application of a new accounting policy for transactions, other events, or conditions, that did not occur previously or were immaterial

Change in accounting policy



If a change in policy results from **the application of an international standard**, the change is accounted for in accordance with the

transitional provisions

(if any) provided in that standard.

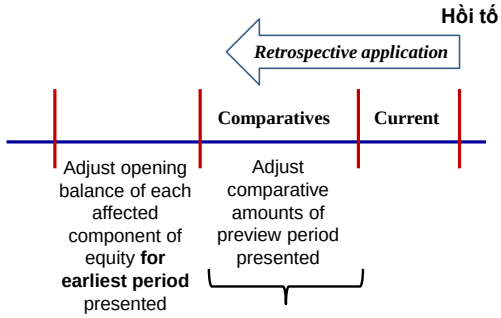
Otherwise, the change is accounted for ***retrospectively*** i.e. comparative figures are adjusted and are presented as if the new policy had always been applied.

Retrospective application

- When a change in accounting policy is applied **retrospectively**,

  + The entity shall adjust the **opening balance** of each affected component of equity for the earliest prior period presented and the other **comparative amounts** disclosed for each prior period presented as if the new accounting policy had always been applied.

Accounting for a change in accounting policy



Ex3:

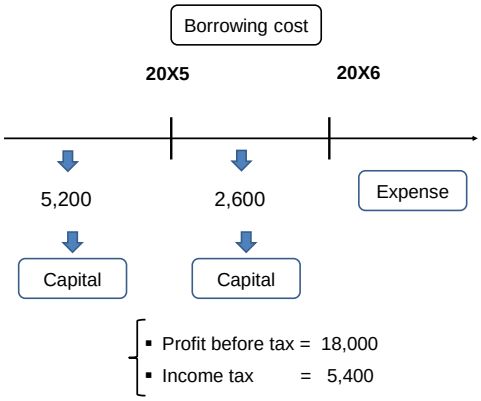
The change in Accounting Policy



- During 20X6, Entity A **changed its accounting policy** in relation to the treatment of **borrowing costs** that are directly attributable to the acquisition of a new power plant.
- Previously such costs were **capitalised**.
- Entity A has *now* decided to treat these costs as **an expense**.
- During 20X5 Collins had incurred borrowing costs of CU2,600 and CU5,200 in periods before 2005. All of these costs had been capitalised.
- No depreciation has been recognised on the power plant as it is not yet in use.
- In 20X5 Entity A reported profit before interest & tax of CU18,000 and income taxes of CU5,400.

How would this change in accounting policy be accounted for under IAS 8?

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	Trước 20X5	20X5	Cột so sánh 20x6
CP lãi vay			
LN trước thuế			
CP thuế TNDN			
LN sau thuế			
BÁO CÁO TÌNH HÌNH TÀI CHÍNH			
TSCĐ			
Nợ phải trả			
LN giữ lại			

Disclosure

- for changes caused by the initial application of an international standard:
  - the title of the standard and a description of any transitional provisions in that standard
- for voluntary changes in accounting policies:
  - the reasons for making the change
- for all changes in accounting policies
  - the nature of the change
  - adjustments made in the current period and in each prior period presented



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CHANGE IN ACCOUNTING ESTIMATES





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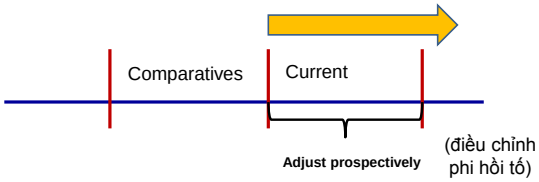
Change in accounting Estimates

Estimates may need revision if:
(i) Change in the circumstances on which the estimate was based
(ii) New information
(iii) More experience

Why?

Change in A/c estimate ≠ Correction an error

Change in accounting Estimates



Recognise the change prospectively in profit or loss in:
- Period of change, if only affects that period or
- Period of change and future periods (if applicable)

Prospective application

- ***Prospective application*** of a change in accounting policy and of recognising the effect of a change in an accounting estimate, respectively, are:

  (a) applying the new accounting policy to transactions, other events and conditions occurring **after** the date as at which the policy is changed; and

  (b) recognising the effect of the change in the accounting estimate **in the current and future periods** affected by the change.

Ex4

The change in Accounting Estimates



- During 2010, Entity A changed its accounting estimate in relation to the **recognition of obsolete inventories.**
- Company earlier used to provide for 50% of inventories aged over 2 years and 100% aged over 3 years.
- The Company now estimates that its inventories would be provided for as 15% aged over 1 year, 35% aged over 2 years and 75% aged over 3 years

How would this change in accounting estimate be accounted for under IAS 8?

obsolete inventories

2010

- 50% aged over 2 years
- 100% aged over 3 years

- 15% aged over 1 year
- 35% aged over 2 years
- 75% aged over 3 years



- **Retrospective application**
- **Prospective application** ⇒
  - Comparatives
  - Current

Ex 5

The change in Accounting Estimates



Giant LTD has an asset which was purchased for $ 80.000 on 1/1/2005 when its useful life was estimated to be **10 years** with residual value of $ 10.000. A straight line depreciation policy was selected.
On 1/1/2011 the Director reviewed the useful life of the asset and found that it had **a remaining life of 8 years.**
Required: Calculate the net book value of the asset at 31/12/2011

Disclosure



- Nature and amount of a change in an accounting estimate for the current year and future period if practicable;
- If estimation is impracticable, disclosure of this fact;

PRIOR PERIOD ERRORS





Prior period errors:

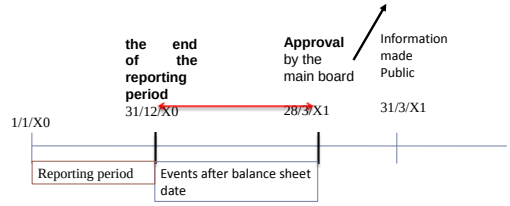


Errors can arise from:
- Recognition, measurement, presentation or disclosure
- **Material errors** could possibly only be detected in subsequent periods

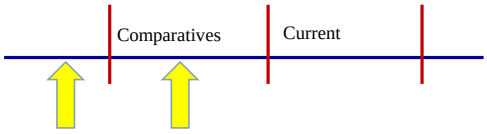
Potential current period error is corrected before financial statements are authorized for issue

Events after the balance sheet date

Events occur between **the end of the reporting period** and the **date when the financial statements are authorised for issue**



Prior period errors:



(điều chỉnh hồi tố)

- ***Retrospective restatement*** is correcting the recognition, measurement and disclosure of amounts of elements of financial statements as if a prior period error had never occurred.

Prior period errors:



Ex6:

Prior period Errors



- During 2013, JJK Ltd discovered certain items that has been include in inventory at 31/12/2012 at a value of $ 2,5 m but they had been in fact sold before the year end.
- The income statement of JJK for 2012 & 2013 are follows:

	2013	2012
Sale	**52.100**	**48.300**
Cost of sale	**(35.500)**	**(30.200)**
Gross profit	**18.600**	**18.100**
Tax expense	**(4.600)**	**(4.300)**
Profit after tax	**14.000**	**18.000**

The retained earning at 1/1/2012 was $ 11.2 m

Required: Show the 2013 income statement with comparative figure and the retained earning for each year

Disclosures



- Nature of the prior period error
- For each prior period presented, if practicable, disclosure the correction
  - For each line item affected
  - For EPS
- Amount of correction at the beginning of earliest period presented
- If retrospective application is impracticable, explain and describe how the error was corrected